

principles of egalitarian transparency, so premines are widely frowned upon. While they still occur, many are scams that the innovative investor should be wary of. A key differentiator between a scam and good intent is the communication and rationale of the developer team behind the issuance model.

On April 8, 2014, the bitcointalk.org user named “eizh,” who would later become a Monero developer, made the comment, “I’m surprised someone hasn’t started a clone for a fairer distribution and active development.”⁵³ On April 9, 2014, only a month after the public announcement of Bytecoin, an involved user known as “thankful_for_today,” made a post to bitcointalk.org titled “Bitmonero—a new coin based on CryptoNote technology—launched,” with the intent to launch mining in nine days.⁵⁴ BitMonero was quickly renamed Monero and often referred to as XMR.

The most defining feature of Monero is its use of *ring signatures*, a cryptographic technology that had been evolving since 1991.⁵⁵ Monero’s ring signatures are best explained in the context of Bitcoin. In Bitcoin, to create a transaction, a known individual signs off on the balance of bitcoin he or she is trying to send. In Monero, a group of individuals signs off on a transaction creating a ring signature, but only one in the group owns that monero. The CryptoNote website puts it succinctly:

In the case of ring signatures, we have a group of individuals, each with their own secret and public key. The statement proved by ring signatures is that the signer of a given message is a member of the group. The main distinction with the ordinary digital signature schemes is that the signer needs a single secret key, but a verifier cannot establish the exact identity of